

Business Factor Analysis

Activity 2: Analyze how a business uses all four factors of production



Instructions

Select a business type to analyze, then calculate factor payments and determine profitability.

1. Choose a business scenario below
2. Read the hints about typical costs
3. Enter monthly factor payments: rent, wages, interest, other costs
4. Enter estimated monthly revenue
5. Calculate profit to see if the business is viable

Choose a Business to Analyze:



Coffee Shop



Tech Startup



Family Farm



Construction Co.